

Innovation MGT and Entrepreneurship

Chapter One

The Innovation Imperative

March, 2023

Mattu, Ethiopia

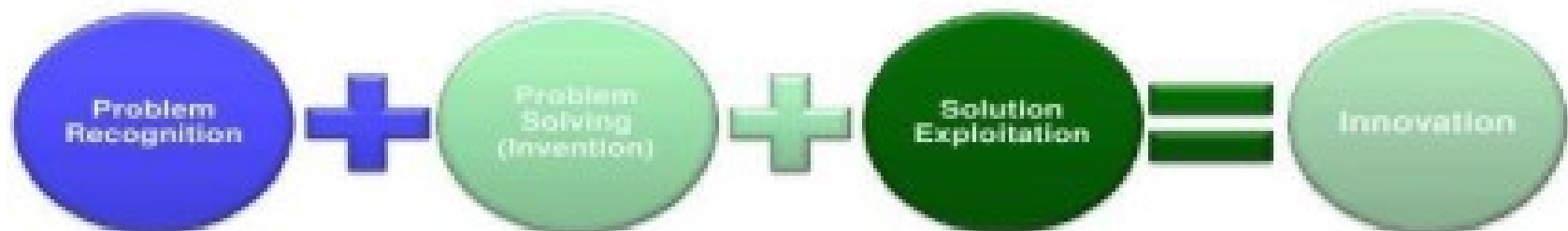
Cont...

- **Innovation** can be simply defined as a "new idea, creative thoughts, and new imaginations in form of device or method".
- **Innovation"** can be defined as something original and more effective that "breaks into" the market or society.
- **Innovation** involve the practical implementation of an invention (i.e. new/improved ability) to make a meaningful impact in the market or society.

Innovation is the process of turning opportunity into new ideas and of putting these into widely used practice.



Innovation Definition



"Anything that won't sell, I don't want to invent."
Thomas Edison

Cont...

Innovation is:

- New stuff
- That adds value
- For various stakeholders
- Can be monetized
- Creates a competitive advantage
- And is sustainable
- Until the advantage deteriorate

Cont....

Innovation as process of doing of something new

- innovation as imitation
- innovation as invention
- innovation as discovery

Cont...

- innovation as cultural change
- innovation as social change
- innovation as organizational change
- political change
- technological change

The Innovation Imperative

- Solving problems:
- Adapting to change:
- Maximizing on globalization
- Facing up the competition
- Evolving workplace dynamics
- Customers' changing tastes and preferences

Cont...

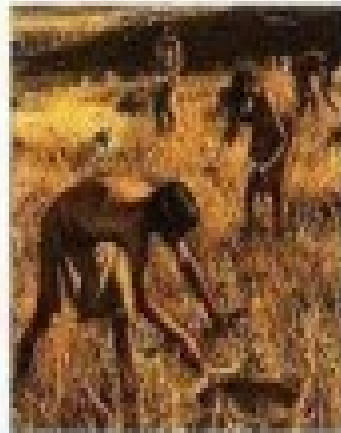
- **Innovation management** is a combination of the management of innovation processes, and change management. It refers both to product, business process, and organizational innovation.

HISTORIC RETROSPECTIVE OF INNOVATION



**Hunter
Gatherer**

Looking
around for
food



Early Tools

Enabled the
agricultural
age



Industrial

Use of
workflow and
automation



Info Revolution

Use of info in
a dramatically
new way

Types of Innovation

TYPOLOGY OF INNOVATION

Type of innovation	Characteristic
Product or service innovation	A product innovation is the introduction of a product or service that is new or significantly improved with respect to its characteristics or intended uses.
Process innovation	A process innovation is the implementation of a new or significantly improved production or delivery method. Process innovations can be intended to decrease unit costs of production or delivery, to increase quality, or to produce or deliver new or significantly improved products.

Cont...

Marketing innovation

A marketing innovation is the implementation of a new marketing method involving significant changes in product design or packaging, product placement, product promotion or pricing. Marketing innovations are aimed at better addressing customer needs, opening up new markets, or newly positioning a firm's product on the market, with the objective of increasing the firm's sales.

Organizational innovation

Organizational innovations can be intended to increase a firm's performance by reducing **administrative costs or transaction costs**, improving **workplace satisfaction** (and thus

Key Obstacles to Innovation

- Lack of a shared vision, purpose and/or strategy
- Short-term thinking/focus
- Lack of time, resources or staff
- Lack of “spec time” to develop new ideas and opportunities
- Innovation not articulated as a company-wide commitment
- Lack of ownership by senior leaders
- Leadership expects payoff sooner than is realistic
- Lack of a systematic innovation process

Cont....

- Management incentives are not structured to reward innovation
- No reward and recognition programs
- Constantly shifting priorities
- Belief that innovation is inherently risky
- Internal process focus rather than external customer focus

Cont....

- Inadequate understanding of customers
- Focus on successes of the past rather than the challenges of the future
- Unwillingness to change in the absence of a burning platform
- Unwillingness to acknowledge and learn from past “failures”
- Politics – efforts to sustain the status quo to support entrenched interests
- Rewarding crisis management rather than crisis prevention
- Hierarchy – over-management and review of new ideas

Cont...

- Under-funding of new ideas in the name of sustaining current efforts
- Fear that criticizing current practices and commitments is a high-risk activity
- Absence of user-friendly idea management processes
- Innovation not part of the performance review process
- Lack of skillful brainstorm facilitation
- No creative thinking training

Innovation and Entrepreneurship

Differences	Entrepreneurship	Innovation
Definitions	Process of building a new and profitable business	Process of using creative skills to introduce new products/services/methodologies in the market
Skillset	Planning, Management, Marketing, Sales, Risk-taking, etc	Creative thinking, Problem-solving, questioning, experimenting, observing, Risk-taking, etc
Motivation	Profit	The success of the product or service
Types	Small business entrepreneurship, Large company entrepreneurship, etc	Incremental Innovation, Disruptive innovation Architectural Innovation, Radical Innovation

Cont...

- Innovation makes things possible that were previously known to be impossible.
- **For example,** before the invention of airplanes, people believed humans couldn't fly.
- Entrepreneurship is identifying opportunities in the market and capitalizing on them to **gain maximum profits.**

Cont....

- **Innovation means introducing something new to the market.**
- For instance, introducing equipment that can reduce old cars' energy consumption is also an innovation.

Innovation Isn't Easy!

- The problem with innovation is that **no one has done it before**, so there are not the usual lessons learned, evaluations, how-to guides and checklists to follow.

Cont...

- Innovation is difficult because it **requires a combination of creativity, problem-solving skills, and the ability to think outside the box.**
It's unlikely that you'd come across many business leaders who would say that innovation is a bad thing.

Cont...

- **Innovation is an iterative process, uncertainty and unknown being an inevitable part of it.** Going through that process requires one being comfortable with confusion, failures, and disappointments and it's not always easy or pleasant.

Cont...



What are the challenges of innovation?

1. Impatient Leadership Innovation of all forms takes time.
2. Lack of Innovation Culture A rigid and traditional management model can also be one of the biggest challenges in innovation and creativity
3. A Fear of Change Being innovative means doing something different
4. Lack of Ownership
5. End-to-End Processes
6. Inadequate Benchmarking
7. No Innovation Ecosystem

Barriers to innovation

- People and the idea of risk and uncertainty.
- No alignment with the Objective Key
- Lack of leadership from all
- Focusing on short-term results only.
- Lack of resources: time, money, or human.
- Lack of connections with science or tech.

Managing Innovation and Entrepreneurship

- According to Gartner, **innovation** management is a structured process of generating, capturing, discussing and improving, organizing, evaluating and prioritizing valuable insight or alternative thinking that would otherwise not have emerged through normal processes.

Cont...

- Innovation management is a combination of the management of innovation processes, and change management.
- It refers to product, business process, marketing and organizational innovation.

Innovation management methods

1. **Incremental:** In an era where businesses are required to constantly reinvent ...
2. **Breakthrough:** A breakthrough innovation refers to technological advancements.
3. **Disruptive:** Disruptive innovations are ideas that are capable and radical.

Cont...



Entrepreneurship Management

- According to Robert Price of Global Entrepreneurship Institute, entrepreneurial management is the **practice of using entrepreneurial knowledge to increase effectiveness of startup businesses.** Entrepreneurial knowledge is restricted to the concepts, skills, and mindset that individual business owners must employ to start and grow their business.

Manager and Entrepreneur

Similarity:

- Both managers and entrepreneur are answerable for **producing results**
- Both have to produce results through people working with them though **they deal with different set of people.**
- Both are **decision makers** but the decisions are different as their tasks vary.
- Both have to **operate under constraints.**

Entrepreneur Vs Manager

- **E- innovator** where as **M- keeps on an established business rules**
- **E- focuses on Opportunity** where as **M- focuses on handling Problems**
- **E- Independent** where as **M- is under the supervision of his/ her employer**
- **E- earns huge profit** where as **M- earns a fixed salary with fixed time period**
- **E-takes calculated risks** where as **M- is less tolerant of uncertainty**

Dimensions of Innovation

Delivering Innovation Project Team

Identifying core challenges & perceived value

Idea generation

Idea evaluation & prioritisation

Lean innovation project management

Development, Experimenting, Prototyping & MVPs

Pilot & Iteration

Managing Innovation Management

Ways of innovating & Business Models

Sensing & understanding trends

Prioritisation & Portfolio Management

Management, Funding, Governance & KPIs

Facilities & Locations

Launch, Integration & Scaling

Leading Innovation Executives

Innovation strategy & Communication

Ambidextrous Organisations & Operating models

Time, Resources & Funding

HR, Performance Review & Recognition

Ecosystems, Acquisitions & External Innovation

Culture, Purpose & Driving change

Chapter Two

Social innovation

- **Social innovation** refers to the design and implementation of new solutions that imply conceptual, process, product, or organizational change, which ultimately aim to improve the welfare and wellbeing of individuals and communities.

Cont...

- Social innovation includes the social processes of innovation, such as open source methods and techniques and also the innovations which have a social purpose—like activism, virtual volunteering, microcredit, or distance learning.

key elements of social innovation

- i) social technology
- ii) innovation intermediaries
- iii) people who drive innovation
- iv) openness.

Challenges for Social Innovation

- Two Customers
- Enforced Waterfall
- Constraint Mindset
- Silos
- Tight Overhead
- Multy Hypotheses
- Measuring Impact
- Cultural Barriers

Types of social innovation

As Dutch philosopher Herman Dooyeweerd : socio-juridical

- socio-cultural
- socio-political
- socio-ideological
- socio-ethical
- socio-economic
- socio-organisational
- socio-technical
- socio-ecological
- socio-analytical.

Major players in SI

- Developer
- Promoter
- supporter
- knowledge provider which come from the public and private sector
- civil society, including NGOs and NPOs.

Other Players

- Research Institutions
- Incubators & Accelerators
- Angel Investors
- Venture Capitalists
- Private Equity Firms
- Government
- Friends & Family
- Civil Society Organizations

Motivation of Social Innovation

- creating or improving products, services, processes, business models and markets to more effectively and efficiently respond to unmet societal needs.

why do Social Innovation

- Social innovation unlocks solutions to environmental challenges and spearheads efforts to create these sustainable practices. Another facet of social innovation is its focus on empowering employees to expand their skill sets and impact the community at a local or even global level.

Cont...

- Social innovation has many definitions, but at its core it supports people and organizations to co-create, learn, adapt and scale more effective solutions to entrenched social problems—making our human and natural systems more adaptive and resilient.

Benefits Of Innovation In Business

- Solves complex business problems
- Increases productivity
- Brings uniqueness and novelty to business process
- Gives a competitive advantage
- Reduces cost and increases revenue.

key factors that influence social innovation

- team training
- Leadership
- organizational culture
- team commitment
- external pressure
- resources
- external support
- demands of interest groups.

Challenges of social entrepreneurship

- Lack of funding support.
- Ability to scale-up.
- Duality of mission.
- Lack of proper business strategy.

A process Model for Innovation and Entrepreneurship

- A. Recognizing the Opportunity
- B. Finding the Resources
- C. Developing the Idea
- D. Capture Value
- E. The Context of Success

Enabling social innovation

- It is the science based management tool which permits non- University research institutions to analysis and optimize their own innovation capabilities.

8 Ways Leaders Enable innovation in their Teams

1. Set time aside for innovation
2. Encouraging and increasing Dialogue
3. Resign some of your ownership
4. Have a vision for a future
5. Compromising on the schedule
6. Put Trust over group think
7. Become a better listener
8. Pursue an acquisition or collaboration

How to create an Innovative Env't

- Make innovation a core value
- Hire people with different perspectives
- Give employees time and space to innovate
- Encourage Collaboration

Cont...

- Have a feedback Process
- Implement ideas as soon as possible
- Reward employees for their ideas
- Offer training
- Invest in resources

Social Entrepreneurship

- Is the activity of establishing new business venture to achieve social change.
- It is all about recognizing the social problems and achieving a social change by employing entrepreneurial principles, processes and operations.

Characteristics of Social Entrepreneurship

- Not bound by norms and traditions
- Not Confined by barriers
- Develop new models
- Take innovative approaches *to solve social issues*
- Transform communities through strategic partnerships
- Sustainability
- Role model
- Mutual added value

Types of Social Entrepreneur

- Community project
- Social enterprise
- Non- profit organizations
- Credit Union
- NGO
- Micro finance

Cont...

- Fair Trade
- Educational Programs
- Corporate social responsibility
- Health care in remote areas
- Green movement, tree plantation
- Care for humanity and nature

Challenges of Social Entrepreneurship

- Lack of funding support
- Lack of ability to scale-up
- Duality of mission
- Lack of proper business strategy
- Lack of delegating tasks
- Poor time management

Cont....

- Hiring incompetent employees
- Poor attitude in the society
- Fail to identify the opportunities
- Poor reward system
- Poor education system
- Lack of support from the government
- High satisfaction with ordinary production

Chapter 3

Sources of innovation

- It refers basis for innovation.
- There are many sources of innovation:- such
as:

Sources of innovation

- Unexpected successes and failure
- Incongruities
- Process needs
- New Knowledge
- Change in perception
- Demographic Changes
- Industry and Market change

Knowledge Push Innovation

- It refers new knowledge or research suggests some new opportunities.
- **Example:-**Smart phones are an example of product developed due to technology push.
- **Type of innovation:** Product and service
- Led by technology

CONT...



Need Pull Innovation

- Is when *unfulfilled need is present* and someone comes up with an idea to fill that need.
- Frequently new technology enables a previously unfulfilled need to fulfilled.
- **Example:-** Business model

Cont...

- **For instance:-** The development of cameras, which have become smaller, more lightweight, higher performing as the result of customer needs.

Making process better/ Incremental Innovation

- Process in incremental innovation
- Generating ideas
- Capturing ideas
- Beginning innovations
- Developing business effectiveness strategy
- Applying business improvement

Cont....

Example of process innovation

- Henry Ford's invention of the world's first moving assembly line, this process simplify vehicle assembly and shortened the time necessary to produce a single vehicle from 12 hrs to 90 minutes.

The 7C's in innovation process

- a. Cause
- b. Context
- c. Comprehension
- d. Check
- e. Conception
- f. Crafting
- g. Connection

How innovation can change the world?

- Innovation provides endless opportunities and new key business models to generate competitive advantages, improve efficiency and, especially, improve the quality of service and life of citizens and customers.

Cont...

Which country has best innovations?

1. Switzerland ranks at the top for the 12th year
2. USA
3. South Korea
4. Israel

Emerging New Markets at „the base of the pyramid”

- Emerging market is a term that refers to an economy that experiences **considerable economic growth** and possesses some, but not all, characteristics of a developed economy.
- Emerging markets are countries that are transitioning **from the “developing” phase to the “developed” phase**

New market Pyramid based on behavior of market



New market Pyramid based on number of customers



Characteristics of the Bottom of the Pyramid Market

i. Unmet Needs

- The people in this market segment are also varied because some of their needs are similar to the other market segment, yet some needs are unique to them.
- **For example**, they have everyday needs like an efficient transportation system, water, electricity access, health services etc. But their needs for electronics, apparels, entertainment may vary from the others.

Cont....

iii. Price-Sensitive: not have a large disposable income

iv. Value-Conscious: The consumer will also pay more to the product if it is providing more value to them.

v. Brand-Conscious The consumer does, in fact, pay a lot of value to the brand.

Cont...

ii. Subsistence Livelihood

- Its is defined as the minimum resources one needs for their basic survival needs. The people in the BOP are dependent on informal sectors and as is highly volatile are living hand-to-mouth.

Characteristics of an Emerging Market Economy

- Rapid growth
- High productivity levels
- Increase in the middle class
- Transition from a closed economy to an open economy
- Instability and unpredictability
- Attraction of foreign and local investments.

Crisis-driven innovation

- It refers innovation and action under pressure.
- **Example:-** The *wheel, the light bulb, the printing press and plenty of vaccines.*

Customization

- **Customization** is the action of modifying something to suit a particular individual or task.
- It is the action of making or changing something according to the buyer's or user's needs: The website allows users some customization. Clothing makers see mass customization as a promising way to reduce waste.

Mass customization

- **Customization** is the action of modifying something to suit a particular individual or task.
- **Mass customization** is a process that *allows a customer to personalize certain features of a product while still keeping costs at or near mass production prices.*
- **Mass customization** combines the efficiencies of mass production *with the ability to modify individual products according to customer specifications.*

The purpose of customization

- Customization lets users make their own selections about what they want to see, or set preferences for how information is organized or displayed.
- It can enhance user experience because it allows users to control their interaction.

Types of mass customization

- A. Collaborative Customization.
- B. Adaptive Customization.
- C. Cosmetic Customization.
- D. Transparent Customization.

Cont...

A. Collaborative customizers conduct a dialogue with individual customers to help them articulate their needs, to identify the precise offering.

➤ Collaborative customization: companies work in partnership with clients to offer products or services uniquely suited to each client.

Cont....

- Collaborative Customization – There is a change both to the Product and to its representation.
- The consumer and producer are part of the Collaborative process of making the change.
- An example is a custom financial plan, which is the result of in depth Collaboration between the planner and client.

Cont...

- For example, choosing which toppings you want on your pizza. Essentially collaborative customization is about identifying the range of needs of your customers and then offering them products which match these needs.

Cont...

B. Adaptive customization:- manufacturers make the same physical product and display it to every customer the same way. However, the product is utilized by the consumer in a customizable fashion.

For example, light bulbs that change based on music or actions of the user are physically the same for all consumers.

Cont...

- Adaptive Customization – No change to the Product is offered, and the consumer sees the unchanged products as represented. However, some customization choices are offered to the consumer at the point of purchase.
- An example is buying a computer, which is highly modularized. While the consumer is offered a standard product, he or she can Adapt it at time of purchase with custom choices for memory and disk space.

Cont...

- **Adaptive customizers** offer one standard but customizable product that is designed so that users can alter it themselves upon receipt. These customization options enable the customer to use the product in different ways to meet diverse needs.

C. Cosmetic customization

- **Cosmetic customization** is about packaging the same product in different ways that appeal to different customers.
- For example, you can highlight a specific attribute or benefit of your product on one packaging and highlight another attribute on another one.

Cont...

- Cosmetic Customization – No change to the Product, but change to the way it is represented.
- An example is a manufactured product that has multiple uses.
- It is packaged and advertised in accordance with the important attributes desired by the target customers, but the product otherwise remains exactly the same.

Cont...

- The cosmetic customization approach is used when end-users prefer similar features and differ in how they want it packaged.
- In such a case, companies produce standardized products and present them in different ways that suit customers.
- For example, the products' attributes are advertised or displayed differently.

Cont...

- The practice of presenting a standard product in different ways for different audiences without actually changing the product.

D. Transparent Customization.

- A transparent customizer uses a **standard representation to cover the customization of the product.**
- It is the process of businesses providing unique products and services within a **standard package to specific customers without informing them that they are customized.**

Cont...

- Transparent Customization – There is a change to the Product, but there is no visible representation of the change.
- An example is a change to the software portion of the product to achieve a higher level of security.

Cont...

Product	Change	Transparent Customization	Collaborative Customization
	No change	Adaptive Customization	Cosmetic Customization
		No change	Change
		Representation	



Cont...

- User of innovation refers to innovation by intermediate users (e.g. user firms) or consumer users (individual end-users or user communities), rather than by suppliers (producers or manufacturers).

Watching others-and learning from them

- By observing how we and other people do things, we will spot opportunities for improvements. The more we observe, the more opportunities we will find.

Cont....

Observation for Innovative and Creative Problem Solving

Robert Tanner, MBA / Last Updated Nov 6, 2015



Importance of observation

- Our observation skills inform us about objects, events, attitudes and phenomena using one or more senses.
- Additionally, being able to observe and gather information about the world is important because it's the basis of communicating well.

What we Can Do to Be More Innovative

- Start with the Individual.
- Fasten to Problems, Not Solutions.
- Become a Better Storyteller.
- Circulate Ideas.
- Test Early, Test Often.
- Learn First, Scale Second.
- Kill Zombie Ideas.
- Get Out There a Lot.

Seven ways to encourage innovation

- Embolden the practice of entrepreneurship.
- Reward innovative habits.
- Offer something different.
- Minimize bureaucracy and red tape.
- Maintain work/life balance.
- Model and promote innovative behaviors.
- Create and nurture a collaborative work environment.

How to Promote Organizational Change & Innovation

- Ensure that senior leaders truly buy into the idea of innovation.
- Define what innovation means for your organization.
- Teach people how to innovate.
- Track innovation efforts from beginning to end.
- Look for quick wins.
- Recognize success and thank people.

Five Steps to Implementing Innovation

- Spot opportunities for innovation.
- Prioritize opportunities.
- Test your potential innovations.
- Build support for your innovations.
- Learn from your innovation efforts.

The 6 Requirements Of A Truly Innovative Company

- Curious Employees.
- A Culture of Rewarding.
- Managers and Leaders Who Inspire.
- An Employee Development Program.
- Make Innovation a Prerequisite for Every Position.
- Strong Communication Skills.

Cont...

- Recombinant innovation, the combination of existing ideas, is important for technological progress; we want to understand how important market frictions are in stifling the transmission of ideas from one firm to another.

Cont...

- Recombinant innovation links and leverages assets to define new solutions. A classic example: the iPhone, a combination of existing technologies. Apple's genius came in designing and guiding complex supplier networks to produce components and assemble the iPhone.

What are examples of recombinant technology?

- Through recombinant DNA techniques, bacteria have been created that are capable of synthesizing human insulin, human growth hormone, alpha interferon, hepatitis B vaccine, and other medically useful substances.

What is the role of technology forecasting in innovation?

- Technology forecasting attempts to predict the future characteristics of useful technological machines, procedures or techniques.

Researchers create technology forecasts based on past experience and current technological developments.

Chapter Four

Exploiting Networks

No Man is an Island

- If any single individual tried to accomplish all of these tasks alone they would quickly die of exhaustion, never mind starvation! We could elaborate but the point is clear: like almost all human activity, it is dependent on others. But it's not simply about spreading the workload.

Cont...

- For most of our contemporary activities the key is shared creativity, solving problems together and exploiting the fact that different people have different skills and experiences which they can bring to the party.

Cont...

- It's easy to think of innovation as a solo act... the lone genius, slaving away in his or her garret or lying.
- In reality, taking any good idea forward relies on all sorts of inputs from different people and perspectives.

Cont...

- Innovation is not a solo act but a multiplayer game. Whether it is the entrepreneur who spots an opportunity or an established organization trying to renew its offerings or sharpen up its processes, making innovation happen depends on working with many different players.

Cont...

- Innovation is about developing and **making use of increasingly wide networks.**
- Smart firms and solo entrepreneurs have always recognized the importance of linkages and connections **getting close to customers to understand their needs, working with suppliers to deliver innovative solutions, linking up with collaborators, research centers, even competitors to build and operate innovation systems.**

Cont...

- In an era of global operations and high-speed technological infrastructures populated by people with highly mobile skills, building and managing networks and connections becomes the key requirement for innovation.

Cont...

- **Networking** is important right across the innovation process from finding opportunities, through pulling together the resources to develop the venture, to making it happen and diffusing the idea – and capturing value at the end of the process.

The Spaghetti Model of Innovation

Innovation is a core process with a defined structure and a number of influences.

The ways knowledge actually flows around an innovation project are complex and interactive, woven together in a kind of social **spaghetti** where different people talk to each other in different ways, more or less frequently, and about different things.

Cont...

- There is also the complication that increasingly the networks we have to learn to deal with are becoming more virtual, a rich and global set of human resources distributed and connected by the enabling technologies of the Internet, broadband and mobile communications and shared computer networks

Cont...

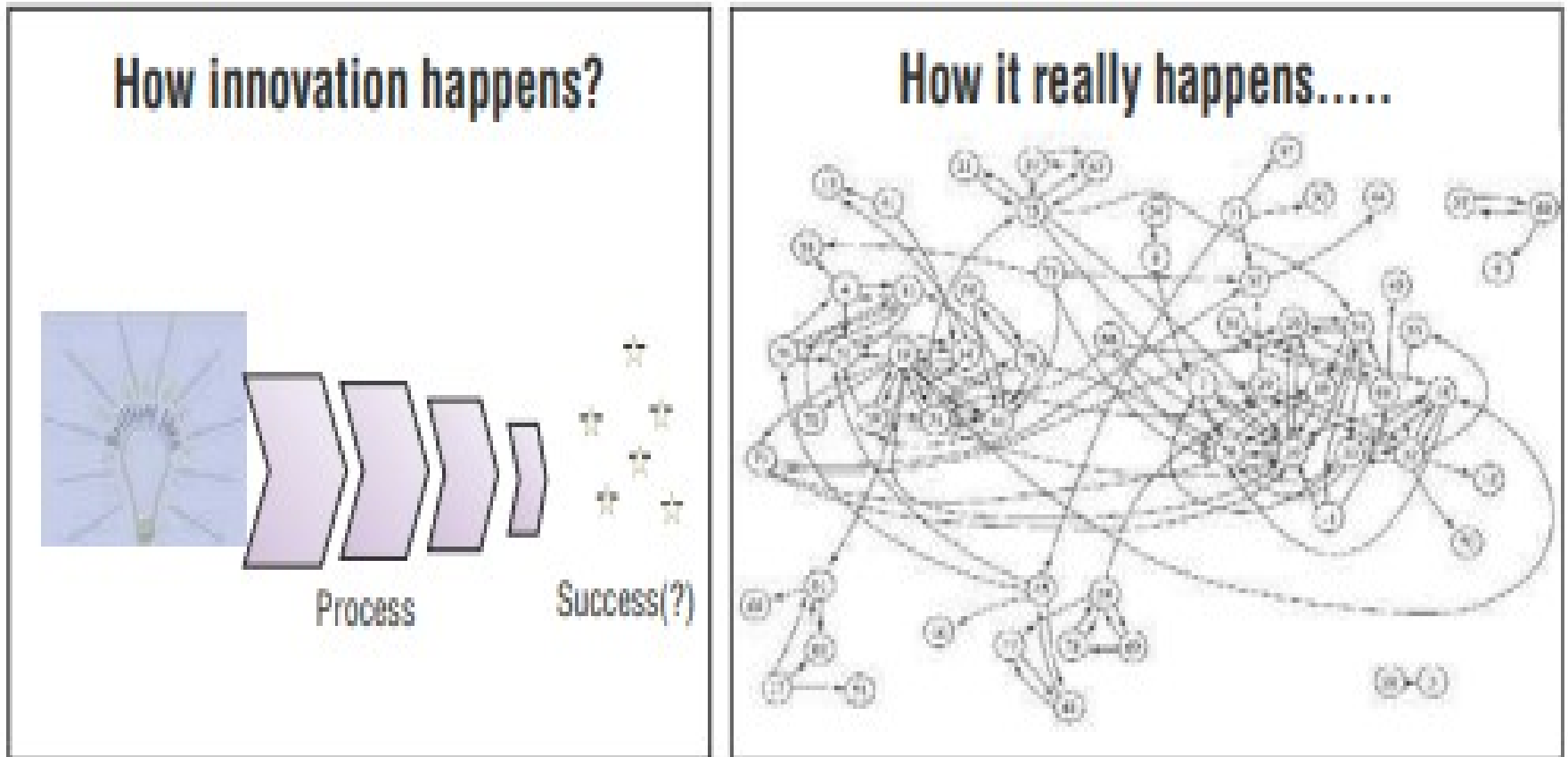


FIGURE 10.1 Spaghetti model of innovation

Innovation Networks

- Innovation networks are more than just ways of assembling and deploying knowledge in a complex world. They can also have emergent properties. Being in an effective innovation network can deliver a wide range of benefits beyond the collective knowledge efficiency mentioned above.

Cont...

- These include getting access to different and complementary knowledge sets, reducing risks by sharing them, accessing new markets and technologies and otherwise pooling complementary skills and assets. Without such networks, it would be nearly impossible for the lone inventor to bring his or her idea successfully to market.

Types of Innovation Networks

A. Entrepreneurs' Networks

An individual ideas, energy and passion are key requirements, most successful entrepreneurs recognize the need to network extensively and to collect the resources they need via complex webs of relationships.

Cont...

B. Supply Chain and Improvement Networks

Supply chain learning involves building a knowledge-sharing network; good examples can be found in the automotive, aerospace and food industries, and often involve formal arrangements like supplier associations.

Cont...

C. Internal project teams:-

- Formal and informal networks of knowledge and key skills within organizations which can be brought together to help enable some opportunity to be taken forward.

Cont...

D. Internal entrepreneur networks

- Aimed at tapping into employee ideas this model has accelerated with the use of online technologies to enable innovation contests and communities.
- Typically mobilizes on a temporary basis employees into internal ventures building networks.

Cont...

E. Communities of practice

- These are networks which can involve players inside and across different organizations.
- They have always been important but with the rise of the Internet there has been an explosion of online communities sharing ideas and accelerating innovation. It is a kind of networking we used around the new ideas

Cont...

F. Spatial clusters Networks

- Network which form because of the players being close to each other (e.g. in the same geographical region).
- Silicon Valley is a good example of a cluster which thrives on proximity – knowledge flows amongst and across the members of the network but is hugely helped by the geographical closeness and the ability of key players to meet and talk.

Cont...

G. Sectoral networks

- Networks which bring different players together because they share a common sector and often have the purpose of shared innovation to preserve competitiveness.
- Often organized by sector or business associations on behalf of their members where there is shared concern to adopt and develop innovative good practice across a sector or product market grouping.

Cont...

H. New product or process development consortium

- Sharing knowledge and perspectives to create and market a new product or process concept (e.g. the Symbian consortium (Sony, Nokia, Ericsson, Motorola and others) worked towards developing a new operating system for mobile phones)

Clusters and 'Collective Efficiency' in Innovation

- Innovation is about taking risks and deploying what are often scarce resources on projects which may not succeed.
- So, another way in which networking can help is by helping to spread the risk and, in the process, extending the range of things which may be tried. This is particularly useful in the context of smaller businesses where resources are scarce and it is one of the key features behind the success of many industrial clusters.

Networks as purposeful constructions

- A network is defined as **the connection of at least two computer systems**, either by a cable or a wireless connection.
- The network is a graphic plan showing jobs or activities that must be completed to achieve completion of a project.
- A network is also defined as an arrow diagram obtained by connecting all the activities of project in logical sequence.

Cont...

- A network allows sharing of files, data, and other types of information giving authorized users the ability to access information stored on other computers on the network.
- Distributed computing uses computing resources across a network to accomplish tasks.

Cont...

Types of Networks

- A. Personal area network, or PAN.
- B. Local area network, or LAN.
- C. Metropolitan area network, or MAN.
- D. Wide area network, or WAN.

Advantages of an innovation network

- The establishment of an innovation network makes it possible to introduce different points of view into the development of an innovation, to quickly make the necessary resources available and to transfer new discoveries faster into a company or organization.

Chapter 5: Growing the enterprise

- A growth company is one in which its business generates positive cash flows or earnings faster than the overall economy. Growth companies typically reinvest their earnings back into the company as opposed to paying out dividends to continue spurring growth.

Enterprise development Stage

I. Introduction Stage

- Productivity is low since demand is low
- Sales volume is low
- Expenses are high
- Least profitable stage.

Cont...

II. Growth stage of an enterprise

- During a growth stage, your business may begin to make more money, breaking even, becoming profitable or increasing profitability.

If your product or service is taking off, it could be time to look for more funding from investors so you can expand your business.

Cont....

III: Maturity Stage:

- Large number of competitors have entered market
- Available products exceed customer demand
- Sales level increase
- Reduction in prices may occur in this stage.

Cont....

IV . Decline Stage :

- Sales show downward trends,
- Profits decline
- It necessitates product differentiation

How to grow your business quickly

- Hire the right people
- Focus on established revenue sources
- Reduce your risks
- Be adaptable
- Focus on the customer experience
- Invest in yourself
- Always think ahead

Cont...

- Boost your customer service.
- Focus on social media.
- Attend networking events.
- Practice corporate social responsibility.
- Host local events.
- Research your competitors.

How to measure business growth

- A. Revenue:** Revenue is a go-to metric in establishing business growth; after all, it's the amount of money your company is bringing in.
- B. Profit:** A more important indicator than revenue is profit, which is what your company has netted over the course of a given period.

Cont...

C. Market share: Market share describes **how dominant your business is in its space compared with competitors.** For new companies breaking into an industry, growing market share rapidly is a major concern.

Cont...

D. Customer acquisition: One of the best ways to grow market share is:

By focusing on lead generation and sales volume.

By getting your brand in front of potential customers and then converting them to make a sale, you can grow your company's market share and revenue at the same time.

Cont...

E. Customer retention: Acquiring new customers helps **you gain market share only if you keep those customers**, so focusing on customer retention and **improving this metric over time** is also key to monitoring the growth of your business.

Cont...

F. Team size: Growing your team is a significant expense, but the size of your team also represents how much you can do. Balancing a team that can meet operational needs with the payroll budget is a key challenge for every entrepreneur, so monitoring the growth of your team over time is particularly important.

Cont...

G. Set a business goal

H. Understand Your Customer Needs

I. Research your competition

J. Attract and retain the right talent

K. Ensuring transparency in your team

Cont...

L. Build strong business relationships

M. Be resilient

N. Become a decisive leader

O. Learn to be patient

P. Keep business documents.

Reason of businesses failure

- The most common reasons small businesses fail include a lack of capital or funding, retaining an inadequate management team, a faulty infrastructure or business model, and unsuccessful marketing initiatives.

Common reasons new businesses do not make it.

- Not Having Enough Money
- Not Knowing Your Market
- Lack Of Vision
- Biting Off More Than You Can Chew
- Trying To Be Everything To Everybody

Con...

- Not Enough Marketing
- Poor Planning
- Not Accepting Constructive Criticism.
- Not Delegating
- Lack Of Soft Skills

Factors of small business failure in Ethiopia

Some of the challenges and problems include

- high level of unemployment
- high poverty incidence
- lack managerial skills
- low industrialization capacity
- lack of finance
- inconsistent government policies
- inadequate infrastructure
- insecurity of the business climate among others.

Cont...

- Failure to plan.
- CHALLENGE: With the excitement of a new business idea, it can be tempting to launch without much forward-thinking opens in new window
- Lack of demand
- Ineffective marketing

Cont...

- Knowledge and skills gaps
- Financial management
- Securing funding
- Hiring the right people
- Leadership.

Enterprise funds

- An enterprise fund identifies the total direct and indirect costs to provide the service and the sources and amounts of revenues that support the service for which a fee is charged in exchange for service.

Sources of Funding

- Retained earnings.
- Debt capital.
- Equity capital.

What are some types of funds? ¹

- Equity funds. These funds invest in U.S. or foreign stocks
- Fixed income funds
- Asset allocation funds
- Index funds
- Target date funds
- Money market funds
- Commodity funds
- Environmental, Social and Governance (ESG) funds.

Growth and performance of new venture

- **Growth** through partnership assesses the tendency of **new ventures** to grow through licensing technology from other companies or through partnerships

Cont...

- What is new venture growth?
- New ventures, or entrepreneurial ventures, are broadly defined as those firms that are in their early stages of development and growth. Often they are in the process of bringing their initial products or services to the market and of developing their customer base.

Cont...

- **Success Factors to new Venture Creation**
- The people (the founders, including the management team as well)
- The idea (as developed and refined concept in order to exploit market opportunities)
- The resources (which are important for the setting up of the business and making it grow)

Cont...

The advantages of starting a business

- Being your own boss.
- When you start a business and are self-employed, you are your own boss and ultimately control your own destiny.
- Personal fulfillment
- Financial rewards
- Flexible hours
- Following your passion.

Cont...

Process of entrepreneurial/ new venture

- idea generation,
- opportunity evaluation,
- planning,
- company formation/launch
- growth.

Chapter 6: Business Models and capturing value

- **A business model** is a story about how an organization creates, delivers, and captures value. Therefore, before any organization begins thinking about business model innovation it must start by understanding how the organization currently creates, delivers, and captures value.

Cont...

- The term business model refers to a company's plan for making a profit. It identifies the products or services the business plans to sell, its identified target market, and any anticipated expenses. Business models are important for both new and established businesses.

Cont....

Types of business models:

- Retailer model. A retailer is the last link in the supply chain.
- Fee-for-service model.
- Subscription model.
- Bundling model.
- Product-as-a-service model.
- Leasing model.
- Franchise model.
- Advertising or affiliate marketing model.

Cont...

keys to success business model

- I. Strategy,
- II. Organization,
- III. Human Resources,
- IV. Leadership Style,
- V. Information Systems, and
- VI. Customer Orientation.

Cont...

components of a business model

- A high-level vision. The first component of your business model is a basic description of your strategy.
- Key objectives.
- Customer targets and challenges.
- Solutions.
- Value.
- Pricing.
- Messaging.
- Go-to-market.
- Growth opportunity

Why use business Models?

Business models are important for both new and established businesses.

- They help new, developing companies attract investment.
- Recruit talent.
- Motivate management and staff.
- It anticipate trends and challenges ahead.

business models Vs business plans

- The business model is the foundation of a company, while the business plan is the structure. So, a business model is the main idea of the business together with the description of how it is working. The business plan goes into detail to show how this idea could work.

Cont...

- What does the business model include?
- A business model is a company's core strategy for profitably doing business. Models generally include information like products or services the business plans to sell, target markets, and any anticipated expenses.

Business Model Innovation

- Business model innovation is the art of enhancing advantage and value creation by making simultaneous—and mutually supportive—changes both to an organization's value proposition to customers and to its underlying operating model.

Cont...

- What is the main objective of business model innovation?
- The primary goal of business model innovation is to realize new revenue sources by improving product value and how products are delivered to customers.

Cont...

- **Value Capture** is the process of retaining some percentage of the value provided in every Transaction. If you're able to offer another business something that will allow them to bring in \$1 million of additional revenue and you charge \$100,000, you're capturing 10% of the value created by the transaction.

Generic and specific business models

- A generic strategy is a general way of positioning a firm within an industry. Focusing on one generic strategy allows executives to concentrate on the core elements of firms' business-level strategies and avoid competing in the markets better served by other generic strategies.

Cont...

Example of generic in business

- products which are all different in type but are capable of satisfying the same basic want of the prospective purchaser.
- For example, the consumer may want to buy some new kitchen appliances but must choose between a dishwasher, a refrigerator and a microwave oven.

Cont...

- The four kinds of generic business models are **creator, distributor, landlord and broker**. The creator manufactures the product or service.
- The distributor sells it to users.
- The landlord owns the product or asset and licenses or rents it to consumers.

Cont...

- What are the elements of a generic business model concept?
- Based on the above review of the widely ramified literature, we would propose a generic business model that includes the following causally related components, starting at the product market level: (1) customers, (2) competitors (3) offering, (4) activities and organisation, Business model concept Jonas Hedman and ..

Cont...

- **Simple steps to securing a strong business model.**
- Identify your specific audience.
- Establish business processes.
- Record key business resources.
- Develop a strong value proposition.
- Determine key business partners.
- Create a demand generation strategy.
- Leave room for innovation.

Cont...

- **Business Model Components Every Entrepreneur Needs**
- Component #1: Your Revenue Model.
- Component #2: Your Gross Margin Model.
- Component #3: Your Operating Model.
- Component #4: Your Working Capital Model.
- Component #5: Your Financing (or Investment) Model.

Cont...

What is a specific business model?

- The term business model refers to a company's plan for making a profit. It identifies the products or services the business plans to sell, its identified target market, and any anticipated expenses. Business models are important for both new and established businesses

Cont...

Steps of building business model

- Identify your target market.
- Define the problem you will solve.
- Detail your unique selling proposition (USP) .
- Create a pricing strategy.
- Develop a marketing approach.
- Establish operational practices.
- Capture path to profitability.
- Anticipate challenges.

Chapter 7: Learning to Manage Innovation and Entrepreneurship